Office of Information Technology Services

State Capitol P.O. Box 2062
Albany, NY 12220-0062
www.its.ny.gov

New York State Information Technology Policy	**No:** ITS-P18-001
IT Policy: **Proof of Value**	**Updated:** 02/11/2026
	Issued By: NYS Office of Information Technology Services **Owner:** Chief Information Office

1.0 Purpose and Benefits

This policy outlines the technical and legal implications to consider prior to commencing a Proof of Value ("POV") project.

2.0 Authority

Section 103.10-11 of State Technology Law provides the Office of Information Technology Services (ITS) the authority to establish statewide technology policies, including technology standards and security. *Section 2 of Executive Order No. 117*[1] provides the State Chief Information Officer, the authority to oversee, direct and coordinate the establishment of information technology policies, protocols, and standards for State government, including hardware, software, security, and business re-engineering. Details regarding this authority can be found in NYS ITS Policy *NYS-P08-002 Authority to Establish Enterprise Information Technology (IT) Policies, Standards and Guidelines.*

[1] All references to Executive Order 117 refer to that which was originally issued by Governor George E. Pataki on January 28, 2002 and continued by Executive Order 5 issued by Governor Eliot Spitzer on January 1, 2007, Executive Order 9 issued by Governor David A. Patterson on June 18, 2008, Executive Order 2 issued by Governor Andrew M. Cuomo on January 1, 2011 and Executive Order 6 issued by Governor Kathy Hochul on October 8, 2021.

3.0 Scope

This policy document applies to ITS and its employees (including full-time, part-time, and temporary employees), contractors, consultants, volunteers, interns, and ITS supported agencies ("Client Agency").

4.0 Information Statement

An ITS POV is a formal evaluation of an un-procured technology to explore and demonstrate the potential of a Product or Service to fill a business need or solve or transform a business problem. It is not intended to provide a production ready environment but instead provides a collaborative exercise to illustrate the capabilities and identify potential risks or implementation considerations.

A POV for any un-procured technology must be initiated when:

a) the technology will or may be put into production in an ITS-managed technological environment (e.g., data center or cloud); and

b) a financial investment of $50,000.00 or greater is being considered.

To request a POV review and approval, please have your ITS representative lead submit an ITSM request. A POV request requires a risk analysis ascertaining security/ privacy considerations.

Prior to conducting a POV, formal, documented approval must be obtained, this includes an agreement between the third-party vendor and ITS. Only ITS authorized signatories may execute any legal documentation which includes, but is not limited to, any on-line click-through agreements. Available for specific use in POVs is a boilerplate evaluation agreement prepared by the ITS Division of Legal Affairs (see Attachment A). A vendor agreeing to those terms as-is will expedite review timeframes. All POVs must have zero cost associated with them and may not begin until all appropriate approvals are received.

POV results must be documented using a standard template.

5.0 Compliance

This policy shall take effect upon publication. Compliance is required with all ITS policies and standards. ITS may amend its policies and standards at any time; compliance with amended policies and standards is required.

6.0 Definitions of Key Terms

Except for terms defined in this policy, all terms shall have the meanings found in http://www.its.ny.gov/glossary.

7.0 Contact Information

Submit all inquiries and requests for future enhancements to the policy owner at:

Office of the Chief Information Officer
Reference: ITS-P18-001
NYS Office of Information Technology Services
State Capitol, ESP, P.O. Box 2062
Albany, NY 12220-0062
Telephone: (518) 402-7000
Email: CIO@its.ny.gov

Statewide technology policies, standards, and guidelines may be found at the following website: https://its.ny.gov/policies

8.0 Revision History

This policy should be reviewed consistent with the requirements set forth in ITS-P24-003 Process for Establishing Information Technology Polices, Standards and Guidelines.

Date	Description of Change	Reviewer
10/04/2019	Issued policy	Chief Technology Office
11/15/2023	Reviewed and no updates	Chief Technology Office
02/11/2026	Updated owner, added proof of value criteria, added template evaluation agreement	Chief Information Office

9.0 Related Documents

ITS Proof of Value Evaluation Template

Attachment A

Boilerplate Evaluation Agreement Template

EVALUATION AGREEMENT
between
[VENDOR]
and
THE NEW YORK STATE OFFICE OF INFORMATION TECHNOLOGY SERVICES
for
[PRODUCT]

This Evaluation Agreement ("Agreement") is made by and between [Vendor] ("Vendor" or "…") located at [Vendor Address] and the New York State ("NYS") Office of Information Technology Services ("ITS") located at the Empire State Plaza, Swan Street Building, Core 4, Albany, NY 12207.

RECITALS:

WHEREAS, [What product vendor is providing];

WHEREAS, [Why ITS is evaluating the product] (herein, "Purpose"); and

NOW, THEREFORE, in consideration of the foregoing recitals, the mutual covenants and conditions contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto hereby agree as follows:

1. No Cost. Nothing in this Agreement shall obligate the parties to proceed with any transaction or business relationship. Nothing in this Agreement may be construed to obligate ITS to any current or future expenditure of resources. Nor does this Agreement obligate ITS to spend funds on any particular project or for any particular purpose, even if funds are available. Any endeavor involving reimbursement, contribution of funds, or other transfer of anything of value by ITS will be handled in accordance with applicable laws, regulations, and procedures, including those for NYS procurement.

2. Term. [Product] license grant is effective for [time period] days from the start of ITS use of the [Product] (the "Evaluation Period"), unless terminated earlier. Upon expiration of this Agreement, ITS shall make no further use whatsoever of the [Product], except to the extent that may be permitted under any other agreement(s) in accordance with NYS procurement laws.

3. Artificial Intelligence. If this Product contains an Artificial Intelligence component, including Generative AI capabilities, all parties must adhere to New York State's Acceptable Use of Artificial Intelligence Technologies (NYS-P24-001).

4. Grant of License. ITS is hereby granted a limited, nonexclusive, and nontransferable license to use Subscription Services for internal business purposes during Evaluation Period according to the technical documentation of the Subscription Services for the Purpose. Except for the limited license right specified herein, ITS is not entitled to use the Subscription Services in any other manner or for any other purpose except for the Purpose.

5. Use and Collaboration. ITS shall collaborate with [Vendor] to support the implementation and evaluation of the [Product] for the duration of the Term and the decommissioning, if need be, at the end of the Term, except to the extent that may be permitted under any other agreement(s) in accordance with NYS procurement laws. [Vendor] provides the [Product] on an "as is" basis during

the Evaluation Period. To the extent permitted by law, [Vendor] disclaims any and all warranties, express, implied, statutory or otherwise, except as explicitly stated herein or in writing by [Vendor].

6. Cooperation. [Vendor] and ITS acknowledge that it shall be necessary to collaborate throughout the Evaluation Period and agree to use best efforts to fulfill the Purpose of this agreement. For purposes of this paragraph, best efforts means that (a) ITS shall provide [Vendor] with technical feedback on its evaluation of the [Product] including recommendations to improve the [Product], and (b) [Vendor] shall respond to feedback and inquiries regarding the use and function of the service with a level of effort and resources normally devoted by [Vendor] in accordance with its values, subject to the terms of this Agreement.

7. Ownership. ITS acknowledges that the [Product] is and shall remain the sole and exclusive property of [Vendor], and that [Vendor] shall own all right, title, and interest therein, together with all patent, copyright, and other intellectual property rights therein, except to the extent that may be permitted under any other agreement(s) in accordance with NYS procurement laws.

8. Confidentiality.

a. During the term of this Agreement, each party may be given or have access to, confidential information of the other party, including without limitation, information, technology, know-how, methods, techniques, processes, data and databases, trade secrets, and other intellectual property, whether or not patented or patentable, copyrighted or copyrightable, financial, commercial, governmental, or other proprietary information that relates to the business, financial affairs, personnel, business development and marketing, methods of operation, Product documentation, customer and pricing information, security procedures, and internal controls of the other party (collectively, "Confidential Information"). Confidential Information shall include all data, notes, summaries, or other material derived from the foregoing.

b. Each party hereby agrees that such party shall: (i) use the disclosing party's Confidential Information only for the purpose of carrying out the intentions of this Agreement, and for no other purpose whatsoever; (ii) disclose the disclosing party's Confidential Information only to those of the receiving party's employees or agents with a need to know, and permit such employees or agents to use the Confidential Information only in connection with the purposes referred to above; (iii) take, and require its employees and agents to take, all precautions necessary to keep confidential and protect from theft, unauthorized duplication or discovery, the disclosing party's Confidential Information; and (iv) advise its employees and agents who receive the Confidential Information that they may only use, and are required to protect, such Confidential Information as set forth above. Each party is ultimately responsible for the safe keeping of the Confidential Information disclosed by it to its employees and agents.

c. The foregoing restrictions on use and disclosure shall not apply to Confidential Information that the receiving party can conclusively show: (i) was in its possession, as evidenced by written records, pre-dating disclosure hereunder, provided that any confidentiality restrictions on information provided by disclosing party prior to this Agreement remain intact; (ii) was or became public knowledge through no fault of the receiving party; (iii) was disclosed to the receiving party by a third party who was not bound by any confidentiality restriction and did not so bind the receiving party; or (iv) is required by law to be disclosed, but only to the extent of such requirement.

d. At any time upon request by the other party and upon the expiration or earlier termination of this Agreement (whichever event occurs first), each party shall return to the other party, all of the other party's Confidential Information, and make best effort to return or delete all notes, memoranda or other materials, and analyses of such information and any and all excerpts or copies of Confidential Information, whether in written, electronic, or other format.

e. Each party shall notify the other immediately upon discovery of any use or disclosure of the other party's Confidential Information in violation of this Agreement, or any other breach of the

confidentiality obligations herein, and shall cooperate fully with the other party to assist it in regaining possession of the Confidential Information and to prevent further disclosure or use of the Confidential Information in violation of this Agreement.

f. Parties also recognize that ITS is subject to a public records law, the NYS Freedom of Information Law ("FOIL") and other laws, which may require the disclosure of records otherwise covered by this Agreement. In the event that ITS is required by law, governmental order, or by a court of competent jurisdiction to disclose such records, ITS shall provide advance notice of such required disclosure to [Vendor], so as to afford the [Vendor] the opportunity, at the [Vendor]'s sole cost and expense, to pursue a protective order or other remedy, prior to disclosure, and ITS shall reasonably cooperate with [Vendor] in such efforts, so long as, such cooperation does not expose ITS to risk of liability or penalty and is not inconsistent with any governing law or court order.

9. Real Data Nondisclosure & Confidentiality.

Contractor shall maintain the security, nondisclosure, privacy, and confidentiality of all information in accordance with the following clauses in the performance of its activities under the Contract. Contractor shall ensure that its agents, employees, officers, partners, and subcontractors, if any, are fully aware of the obligations arising under the Contract and shall take all commercially reasonable steps to ensure their compliance to prevent unauthorized use, access, or disclosure of NYS Confidential Information. Failure by Contractor or its agents, employees, officers, partners, or subcontractors to fully comply with these requirements shall be deemed a failure to meet Contractor's obligations under the Contract and may result in ITS suspending, canceling, and/or terminating the Contract for cause or to pursue any other legal or equitable remedies available.

a. Definitions**.** "*New York State ('NYS') Facilities*": As used in the Contract, the term "*NYS Facilities*" shall mean any real property, tangible personal property, or electronic or virtual systems, or any part(s) or component(s) thereof, used in the conduct of New York State's business operations, including, but not limited to, physical office or computing space, computer(s) or computer systems, telecommunications or network infrastructure (e.g., utility closet(s), conduits, hubs, switches, routers), and supporting NYS Facilities and systems (e.g., mechanical, power, cooling, security, fire protection, water), regardless of owner.

"New York State ('NYS') Confidential Information": For purposes of the Contract, any information that ITS or the State, regardless of form or medium of disclosure (e.g., verbal, hard copy, or electronic) or source of information (e.g., ITS, other state agencies, electronic systems, federal government, or third-party contractors) provides to the Contractor, its agents, employees, officers, partners, and subcontractors or which Contractor, its agents, employees, officers, partners, and subcontractors obtains, discovers, derives, or otherwise becomes aware of as a result of Contractor's performance other than:

a. information that is previously rightfully known to the receiving Party without restriction on disclosure;

b. information that is or becomes, from no act or failure to act on the part of the receiving Party, generally known in the relevant industry or is in the public domain; and

c. information that is independently developed by Contractor without use of NYS Confidential Information.

"Contractor": For purposes of the Contract, obligations of the Contractor who is a Party to the Contract with ITS and refers to collectively, as well, Contractor's agents, employees, officers, partners, or subcontractors.

"State." For purposes of the Contract shall be interpreted to including New York State executive agencies (e.g., ITS, DTF, OTDA, DOH).

"Information Security Incident." For purposes of the Contract shall mean any allegation or suspicion held by or brought to the attention of a State employee or Contractor involving inappropriate or unauthorized access to, or disclosure of, NYS Confidential Information or NYS Facilities.

b. Data Ownership, Non-Disclosure, and Confidentiality. NYS Confidential Information is owned exclusively by New York State, will remain the property of the State throughout its use under the Contract, and shall not be released to any third-party by Contractor unless as required by applicable law or a court of competent jurisdiction, or unless Contractor has first obtained explicit written permission from a duly authorized individual employed by the State. Contractor is permitted to use NYS Confidential Information solely for the purposes set forth in the solicitation and the Contract, and for no other purpose. At no time shall the Contractor access, use, or disclose any NYS Confidential Information (including, but not limited to, personal, financial, health, or criminal history record information or other sensitive criminal justice information) for any other purpose. Further, NYS Confidential Information must be fully accessible at all times to the State during the term of the Contract and at the Contract's conclusion. Contractor may not limit or prevent access by the State to Confidential Information for any reason during the term of the Contract, except for planned interruptions, maintenance, or other similar activities.

The Contractor is strictly prohibited from releasing or using NYS Confidential Information for any purposes other than those defined herein or authorized in writing by the State. This prohibition includes, but is not limited to, using any NYS Confidential Information for text or data mining purposes, or to develop or train any application, software, code, or data models, including generative artificial intelligence or other artificial intelligence and machine learning models, irrespective of whether such purposes are commercial or non-commercial, unless specifically authorized in writing by the State. Contractor agrees that NYS Confidential Information shall not be distributed, used, repurposed, transmitted, exchanged, or shared across other applications, environments, or business units of the Contractor or otherwise passed to other contractors, agents, subcontractors, or any other interested parties, except as expressly and specifically agreed to in writing by the State. Contractor shall indemnify and hold ITS and the State harmless from any loss or damage to the State resulting from the disclosure by the Contractor of such NYS Confidential Information, in accordance with the terms and conditions of the Contract. Contractor, including Contractor's agents, employees, officers, partners, or subcontractors, may be required to execute all nondisclosure agreements identified in the solicitation, either before or upon arrival at NYS Facilities or, if in the State's sole discretion, Contractor will otherwise have access to critical State networks, equipment, or NYS Confidential Information.

c. Compliance with NYS Information Security Policies and Procedures. Contractor warrants, covenants, and represents that it shall comply fully with all security procedures of the State communicated to it in the performance of the Contract, including NYS Information Security policies and standards, and their successors posted on the ITS website. At the State's discretion, it may, at any time during the term of the Contract, request that Contractor provide documentation validating its adherence to these security policies and standards. Contractor must deliver such documentation within thirty (30) days of a request by the State or as mutually agreed to, in writing, by the Parties.

Contractor, to the extent the following meets or exceeds the NYS Information Security policies and standards described above, shall use industry standard security measures, including standard encryption protocols, to protect and guard the availability and security of all NYS Confidential Information, and adhere to all the State's security policies. Contractor shall be strictly prohibited from using NYS Confidential Information in any fashion other than that defined herein. There may be instances whereby the State will communicate security procedures necessitated by the State's operations. Contractor will use reasonable efforts to implement same. In the event Contractor does not implement or communicates that it cannot or will not implement such security procedures, the Parties will reasonably work to resolve such dispute pursuant to the Contract's Dispute Resolution process to the extent such dispute does not adversely impact the State's legal obligations.

Contractor warrants that its Contractor Staff are properly informed and trained regarding industry standard security measures, NYS Information Security policies and standards, and are prohibited from disclosing NYS Confidential Information to any persons without a need to know.

d. Protection and Transmission of NYS Confidential Information. Contractor shall use appropriate means to preserve and protect NYS Confidential Information. This includes, but is not limited to, use of stable storage media, regular data backups and archiving, password protection of volumes, and data encryption. Consistent with the NYS Encryption Standard, to the extent doing so is applicable based on the specific services provided by Contractor to ITS under the Contract, the Contractor must encrypt NYS Confidential Information at rest, on file storage, on database storage, or on back-up media, and in transit in accordance with Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, and guidelines. Contractor must use secure encrypted means (e.g., HTTPS, SFTP) for all electronic transmission or exchange of system, user, and application data with the State. Encryption at rest shall specifically use a currently valid FIPS approved cryptographic modules. The secure means used for electronic transmission or exchange of system, user and application data with the State shall be HTTPS, TLS version 1.3 or higher, or TLS 1.2 using only currently valid and non-depreciated ciphers.

Contractor agrees that to the extent it has been authorized in writing to use such storage, any and all NYS Confidential Information will only be stored, processed, and maintained solely on designated target devices, and that no NYS Confidential Information at any time will be processed on or transferred to any portable computing device or any portable storage medium.

Contractor shall also comply fully with all requirements of the Contract pertaining to security requirements specific to the services Contractor is providing to the State under the Contract. In addition to the specific security provisions required herein, Contractor shall also use, to the extent the following meets or exceeds NYS Information Security polices and standards, commercially reasonable best efforts to address and remediate any vulnerabilities associated with the types of application development or configuration services it is providing under the Contract which appear on the CWE/SANS list of the "TOP 25 Most Dangerous Programming Errors" (http://www.sans.org/top25errors/). When a vulnerability scan is being conducted as required by applicable NYS Information Security policies and standards and reveals software application vulnerabilities or any other security risks attendant to a provided solution, Contractor is responsible for ensuring those vulnerabilities and risks are remediated to ITS' reasonable satisfaction, including, but not limited to, complying with the requirements of ITS Standard NYS-S15-002, Vulnerability Management, or any successor standard.

e. Physical Transport of NYS Confidential Information. To the extent the State agrees under the Contract that Contractor may physically transport any NYS Confidential Information, such physical transport may only occur upon the written direction and approval of the State and must comply with all applicable Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, and guidelines. This includes, but is not limited to, transport between the Contractor’s offices, to and from subcontractors, and to the State.

f. Data Storage, Access, and Location - Off Shore Restrictions. Contractor agrees that: (a) unless agreed to in writing by a State authorized signatory adhering to established State practices, all NYS Confidential Information shall remain within and may not be stored, or accessed from, outside of the Contiguous United States (CONUS) and (b) unless expressly agreed to in writing by a State authorized signatory adhering to established State practices, Contractor shall not have remote access into NYS Facilities.

All access to NYS Confidential Information and NYS Facilities, physical or virtual, must be conducted within CONUS and have adequate security systems in place to protect against the unauthorized access to NYS Confidential Information stored therein or NYS Facilities. The Contractor shall not send or permit to be sent to any location outside of the CONUS any NYS Confidential Information related to the Contract.

To the extent support by Contractor requires replication of a set of conditions such as a software crash event, Contractor shall replicate that set of conditions in its own environment when providing support, while communicating with State technical personnel. For software development activities, such as patches, updates, or adding new functionality, Contractor shall conduct that software development within its own development, quality assurance, and production environments, and, when ready, shall package and provide it through an agreed-to Internet-based location, from which State technical personnel will download such software, and install and test it in the State's information technology environment. Contractor must provide the results of vulnerability scans conducted on the code prior to the State accepting changed in the code.

Upon prior written approval of ITS, to the extent Contractor requires access to State system or application audit logs for support and troubleshooting, Contractor will maintain such logs only within CONUS, will take the strictest measures to ensure such logs do not contain NYS Confidential Information including production data, and will maintain such logs in a secure environment subject to audits by the State.

g. Separation of Duties / Access Controls. The Contractor must ensure that all NYS Confidential Information that it holds under the Contract is stored in a controlled access environment to ensure data security and integrity that adheres to all applicable Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, and guidelines. Contractor will provide the State a list of the physical locations where Contractor has stored any NYS Confidential Information at any given time and will update that list if the physical location changes. All Contractor facilities must have adequate security systems in place to protect against the unauthorized access to such facilities and data stored therein. Access into and within such facilities must be restricted by Contractor through an access control system that requires positive identification of authorized individuals as well as maintains a log of all accesses (e.g., date and time of the event, type of event, user identity, component of the information system, outcome of the event). The Contractor shall have a formal procedure in place for granting computer system access to NYS Confidential Information and to track access. Contractor access to NYS Confidential Information for any types of projects outside of those approved by ITS are prohibited.
ITS requires the Contractor to follow security best practices by adhering to the principle of least privilege and adhering to separation of job duties, and limiting Contractor Staff knowledge of NYS Confidential Information to that which is absolutely needed to perform job duties. Upon request, Contractor will provide documentation to the State clearly defining the security roles and access levels for each of its staff working with NYS Confidential Information with a level of specificity objectively reasonable to and approved by the State. Only those individuals who have successfully completed all required security clearance and background check requirements, including training, shall have access to NYS Confidential Information.

10. Data Transparency, Accessibility, Migration, and Destruction at the End of Contract

a. Data Migration. Contractor shall ensure that the services it performs and the solutions it designs under the Contract are performed in such a way so as to ensure easy migration of any NYS Confidential Information held by Contractor as required by the State. This may include:

• Contractor keeping NYS Confidential Information, including State policy and profile information, separate from processes of any software itself and maintaining that information in a format that allows the State to easily transfer it to an alternative application platform;

• Contractor making its Application Programming Interfaces (APIs) available to the State; and

• Contractor reformatting data and/or applications at Contractor's own expense in order to easily allow the State to switch to alternative software providers or move the NYS Confidential Information back in-house at the State.

b. Data Return and Destruction - In General. During any period of suspension of services or of the Contract, the Contractor will not take any action to intentionally erase any NYS Confidential Information.
At the expiration or termination of the Contract, the Contractor shall implement an orderly return of State assets and the subsequent secure disposal of State assets. The State shall be entitled to any post-termination assistance generally made available by Contractor with respect to the services it provides unless a unique alternative data retrieval arrangement has been established between the Parties in writing.

At the State's option, the Contractor must provide the State with a copy of the NYS Confidential Information, including metadata and attachments, in a mutually agreed upon, commercially standard format at no additional charges to the State, and give the State continued access to NYS Confidential Information for no less than ninety (90) days beyond the expiration or termination of the Contract. Thereafter, except for data required to be maintained by Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, or guidelines or the Contract, Contractor shall destroy NYS Confidential Information from its systems and wipe all its data storage devices to eliminate any and all NYS Confidential Information from Contractor's systems. The sanitization process must be in compliance the NYS Security Standard, NYS-S13-003, and its successors, and, where required, other sanitization and disposal standards. If immediate purging of all data storage components is not possible, the Contractor will certify that any NYS Confidential Information remaining in any storage component will be safeguarded to prevent unauthorized disclosures until such purging is possible. Contractor must then certify to the State, in writing, that it has complied with the provisions of this paragraph including providing any supporting documentation as required. The State may withhold payment to Contractor if NYS Confidential Information is not released to the State in accordance with the preceding sections.

c. Data Return and Destruction - Regulated Data. New York State considers the protection of sensitive data and NYS Confidential Information and business systems to be of the upmost importance. The NYS Confidential Information collected and maintained by State and local government agencies is protected by Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, and guidelines. Access to and use of NYS Confidential Information is limited to authorized government employees and legally designated agents, for authorized purposes only.

To the extent that Contractor has access to Local, State, or Federal government regulated data pursuant to their responsibilities under the Contract, Contractor agrees that it will abide by the requirements of those Federal, State, and Local laws, rules, regulations, ordinances, policies, standards, and guidelines, and will require in writing its agents, employees, officers, partners, or subcontractors to similarly abide by any such requirements including the execution of any documents or agreements required to be executed, certifying their compliance with same.

Contractor must, in accordance with applicable law and the instructions of the State: maintain such regulated data for the time period required by applicable law, rule, regulation, ordinance, policy, standard, or guideline; exercise due care for the protection of data; and maintain appropriate data integrity safeguards against the deletion or alteration of such data. In the event that any regulated data is lost or destroyed because of any act or omission of the Contractor or any non-compliance with the obligations of the Contract, then Contractor shall, at its own expense, use its best efforts in accordance with industry standards to reconstruct such data as soon as feasible. In such event, Contractor shall reimburse the State for any costs incurred by the State in correcting, recreating, restoring, or reprocessing such data or in providing assistance therewith.

In the event that it becomes necessary for Contractor to receive NYS Confidential Information which Local, State, or Federal laws, rules, regulations, ordinances, policies, standards, and guidelines prohibit from disclosure, Contractor hereby agrees to return or destroy, adhering to the standards outlined in the above section, all such NYS Confidential Information that has been received from the State when the purpose that necessitated its receipt by Contractor has been completed. In addition, Contractor agrees, after termination of the Contract, not to retain any NYS Confidential

Information which Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, and guidelines prohibit from disclosure.
Notwithstanding the foregoing, if the return or destruction of the regulated data or NYS Confidential Information is not feasible, Contractor agrees to extend the protections of the Contract for as long as necessary to protect the regulated data or NYS Confidential Information and to limit any further use or disclosure of that regulated data, or NYS Confidential Information. If Contractor elects to destroy the regulated data or NYS Confidential Information, it shall use reasonable efforts to achieve the same and notify the State accordingly. Contractor agrees that it will use all appropriate safeguards to prevent any unauthorized use or unauthorized disclosure of NYS Confidential Information which Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, and guidelines prohibit from disclosure.

d. Data Retention. Notwithstanding any other obligation under the Contract Contractor agrees that it will preserve NYS Confidential Information in a manner that complies with all applicable Local, State, and Federal laws, rules, regulations, ordinances, policies, standards, and guidelines for the purposes of ensuring applicable data records retention obligations are met.

e. Certificate: Upon completion of the destruction of the data, the Vendor shall provide ITS with a written certification of such disposal.

11. Background Checks. [Vendor] may be required to conduct background checks on [Vendor] staff with access to data or premises. For [Vendor] staff with direct or indirect access to the State data center, this is a requirement.

12. Independent Contractor Relationship. Nothing in this Agreement shall be construed to create any partnership, joint venture or agency relationship of any kind. Neither party has any authority under this Agreement to assume or create any obligations on behalf of or in the name of the other party or to bind the other party to any contract, agreement or undertaking with any third party.

13. Additional Terms. Unless ITS has agreed in writing otherwise, any terms on a Vendor website, attached to a software license, part of an account associated with this evaluation, affixed to or accompanying computer software upon delivery or installation, including “clickwrap,” “click through,” or “shrink-wrap,” are not applicable to this evaluation. Only the terms and conditions set forth in this evaluation agreement shall supersede and govern hereunder.

14. Changes and Modifications. No changes or modifications to this Agreement shall be deemed effective unless in writing and executed by all parties hereto.

15. Assignment**.** Neither party may assign this Agreement without the prior written consent of the other.

16. Entire Agreement. This Agreement, together with any attachments hereto, represents the complete and entire understanding between the parties regarding the subject matter hereof and supersedes all prior negotiations, representations or agreements, either written or oral, regarding this subject matter.

17. Governing Law. This Agreement will be governed by and construed in accordance with the laws of the State of New York, without reference to the choice of law provisions thereof. Any and all proceedings relating to the subject matter of this Agreement shall be maintained in the federal or state courts of the State of New York, which courts shall have exclusive jurisdiction for such purpose, and the parties hereby consent to the personal jurisdiction of such courts upon proper service of process. The Uniform Computer Information Transactions Act shall not apply to this Agreement.

IN WITNESS WHEREOF the parties have executed this Agreement as of the Effective Date.

[VENDOR]

By:

Name:

Title:

Date:

NEW YORK STATE OFFICE OF INFORMATION TECHNOLOGY SERVICES

By:

Name:

Title:

Date: